partnership firm. Considering the benefits of audit many firms get their accounts audited by a qualified auditor. The scope and conduct of audit and rights and duties of the auditors are determined on the basis of the agreement between the firm and the auditor.

- **Audit of Joint Stock Companies:** Companies formed and registered under the Companies Act, 1956 have to compulsorily audit its books of accounts as the owners (shareholders) and the management of the company is different. The company auditor's rights, duties, appointment, remuneration etc. are governed by the provisions of the Companies Act.
- **Audit of Trusts:** The provisions of the Public Trust Act and Trust Deed provide that accounts of trusts should be conducted by a qualified auditor. It is the duty of the auditor to verify the transactions and books of accounts of trusts and certify the truthfulness and fairness of the working of the trusts. Audit of trust helps both the trustees and beneficiaries.

EVALUATION

RP2D7R

I. Multiple Choice Questions:

1. Audit is compulsory for _____ .
   a. Sole proprietor
   b. Partnership firm
   c. Joint Stock Company
   d. Trusts

2. Audit conducted for the benefit of beneficiaries is _____ .
   a. Sole proprietor
   b. Partnership firm
   c. Joint Stock Company
   d. Trusts

3. _____ audit helps in settlement of claims and in resolving disputes among partners.
   a. Sole proprietor
   b. Partnership firm
   c. Joint Stock Company
   d. Trusts

4. _____ audit is conducted based on the Indian Trust Act and Deed.
   a. Sole proprietor
   b. Partnership firm
   c. Joint Stock Company
   d. Trusts

5. _____ is a person who solely owns, manages and controls a business.
   a. Sole proprietor
   b. Partner
   c. Director
   d. Trustee

6. Audit of accounts is not compulsory but optional for _____ .
   a. Sole proprietor
   b. Partnership firm
   c. Joint Stock Company
   d. (a) & (b)

7. Person who conducts audit according to the provision of the Companies Act is called as _____.
   a. Internal Auditor
   b. External Auditor
   c. Government Auditor
   d. Cost Auditor

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